USA TRIATHLON

RACE DIRECTOR RESOURCE GUIDE:

EMPLOYMENT, PAYROLL & EQUIPMENT DECISIONS

INTRODUCTION:

As you build your business and your event(s), consider how you will approach asset management. To execute your races you need a great deal of physical equipment (barricades, cones, buoys, etc) as well as human capital to make sure all the pieces run smoothly.

In this section, we will explore the considerations for creating your team of employees and/or independent contractors and ways to approach the payroll process. We will also discuss the implications of purchasing equipment vs. renting equipment:

- Staffing
- Payroll
- Equipment ownership vs. rentals

**Note: While this Guide does provide information about tax, legal, and insurance considerations, this is not to be taken as advice. Since rules change over time and can vary by location, consult professionals for specific guidance.*

STAFFING:

Given the nature of triathlon events, you will likely find yourself hiring staff resources to assist with the pre-production and/or on-site execution of the race. Producing a triathlon is not a solo activity! Depending on the size and scale of the event(s) in your portfolio, you'll need to consider how your team should be structured and whether it's in the best interest of the business to hire employees or independent contractors.

It's important to understand the difference between an employee and an independent contractor. The Department of Labor regularly audits companies for compliance with classification standards and mistakes can leave your business liable for employment taxes, back wages, unemployment insurance claims, worker's compensation claims, claims involving benefits and more. The IRS test, termed the "right-to-control" test helps to provide a framework of considerations used to evaluate the validity of independent contractor classifications. Some states also have their own control test. Many states use "the ABC Test" to determine employee versus independent contractor status. To ensure you're in compliance, check your state's Department of Labor guidelines.

EMPLOYEE VS. INDEPENDENT CONTRACTOR	
ATTRIBUTES	**DESCRIPTION**
Level of Instruction	If the company directs when, where, how work is done and/or in what order or sequence the work is performed this control indicates a possible employment relationship.
Amount of Training	Requesting workers to undergo company-provided training suggests an employment relationship since the company is directing the methods by which work is accomplished.
Demands for Full-time Work	Full-time work gives a company control over most of a person's time, which supports a finding of an employment relationship.
Work for Multiple Companies	People who simultaneously provide services for several unrelated companies are likely to qualify as independent contractors.
Flexibility of Schedule	People whose hours or days of work are dictated by a company are apt to qualify as its employees.
Continuity / Permanency of Relationship	A continuous relationship between a company and a worker indicates a possible employment relationship. However, an independent contract arrangement can involve an ongoing relationship for multiple, sequential projects.
Provision of Tools & Materials	Workers who perform most of their work using company-provided equipment, tools, and materials are more likely to be considered employees. Work done using independently obtained supplies or tools supports an independent contractor relationship.

Need for On-Site Services	Requiring someone to work on company premises - particularly if the work can be performed elsewhere - indicates a possible employment relationship.
Investment in Facilities	Independent contractors typically invest in and maintain their own work facilities. Most employees rely on their employer to provide work facilities.
Personal Performance of Services	An independent contractor has the freedom to hire assistants or subcontract work at his/her expense. Requiring someone to perform the work personally is a sign of control that is indicative of an employment relationship.
Payment	If a worker is paid on a consistent hourly, weekly, or monthly basis this is a sign the worker is an employee. An independent contractor is generally paid by the project. Independent contractor payments (totaling $600 or more) are reported on Form 1099-NEC. Reporting on a W-2 indicates that both the company and the work consider the worker to be an employee.
Ability to Make a Profit or Suffer a Loss	An employee may be rewarded, disciplined, demoted or fired depending on job performance but for as long as they're employed they will always get paid. Only an independent contractor can realize a profit or incur a financial loss as a result of his/her work. Independent contractors have a financial stake in their enterprise.
Benefits	Providing benefits other than pay are a strong indicator of employee status.
Right of Termination	Most employees can terminate their work for a company without liability. The company is also able to terminate the employee without liability. Independent contractors cannot terminate services and a company cannot discharge a contractor without liability, except as allowed under their contracts.

Hiring Employees: In order to hire employees, your business will need to have an Employer Identification Number (EIN). Before bringing on an employee, consult with your accountant and your attorney to help compile a full compliance checklist. Here's a high-level synopsis:

- Signed Employment Agreement
- Form I-9 (eligibility to work in the US)
- Form W-4 (Federal tax withholding)
- State Tax withholding forms (varies by state)
- Dept of Labor New Hire Reporting Process compliance (varies by state)

If you're offering benefits (i.e. health insurance, 401K), the onboarding process should provide employees with plan information and instructions for opting in within the required timeframe.

Hire Independent Contractors: Once you've made the decision to hire an independent contractor it's important to define the relationship between the company and the worker. This will help you to zero in on who might be the right fit for this role and how you envision working with them. Before bringing on an independent contractor, consult with your accountant and your attorney to help compile a full compliance checklist. Here's a high-level synopsis of documents you'll want to consider collecting to have on-file:

- Signed Independent Contractor Agreement
- Form W-9
- Invoices: Only pay your 1099 contractors once they have sent an invoice for the project. Save all invoices and proof of payment for your records.
- Dept of Labor New Hire Reporting Process compliance (varies by state)

PAYROLL:

Payroll for Employees: When making the decision if your company is financially ready to hire an employee, it's important to keep in mind that in addition to paying the employee's salary, you as the employer will also be responsible for paying taxes for that employee. Your actual cost is the sum total of the employee gross pay + employer tax + other expenses (i.e. employee benefits, federal insurance requirements. See insurance section below).

EMPLOYER VS. EMPLOYEE TAX	
EMPLOYER TAX	**EMPLOYEE TAX**
Paid by the employer and DOES NOT affect the employee's gross pay • Social Security Tax • Medicare Tax • Federal Unemployment Tax (FUTA) • State Unemployment Tax (SUTA) • Applicable local taxes for employers	*Paid by the employee which lowers the employee's net pay for the paycheck* • Social Security Tax • Medicare Tax • Federal Income Tax • State Income Tax • Applicable local taxes for employees
Employers are responsible for paying their employer taxes as well as the money they've withheld from their employee's paychecks on a regular basis.	

Consider using an online payroll system to help automate the payment process and Federal and State tax withholding requirements. An established system can help your payroll to run efficiently:

- **Direct Deposit:** Electronic payment directly to employees' bank accounts eliminates the need to write, send, and track paper checks. A payroll system collects the employee's bank information and authorization to make payments directly into the account.

- **Scheduling Payroll:** This functionality allows you to schedule all your payroll dates in advance. Typically, businesses pay either on the 15th and 30th of every month on a semi-monthly schedule or every other Friday on a bi-weekly schedule. An automatic system creates consistency for your employees so they know when to expect payment and also relieves some of the pressure on you to be issuing manual payments during the peak of the race season. Deciding on which day your weekly payroll period ends is important. For event companies, it is generally best to end on a Sunday or Monday to avoid workers putting in long (40+ hour) weeks and weekends when an event takes place without earning any overtime pay.

DID YOU KNOW?

Remote Workers: Generally, you pay state taxes in the state(s) where your employees work. This can get more complicated when you have remote employees that work out-of-state. Find a payroll provider that handles payroll taxes for out-of-state employees so you don't have to!

- **Withholding and Paying Taxes:** Payroll software can help with calculating, withholding, and paying the employee's taxes as well as your employee taxes. Software programs can help you to prevent common payroll errors, which can be costly and time-consuming to fix. They typically update their systems to stay on top of changing state and federal requirements. This allows you more time to focus on your business rather than nitty-gritty tax paperwork.

- **Reporting to the Government:** You're required to report your payroll tax withholdings, payments, and employee statuses to your local and state governments, as well as the federal government on a regular basis. Reporting requirements are dictated by the size of your payroll and the type of business. In most cases, payroll software has the capability to help manage this reporting. Consult with your accountant to understand what's required for your business and select a platform that can help streamline this process.

- **Labor Compliance**: In most cases, payroll software platforms have safeguards built in when it comes to things like minimum wage requirements, overtime hours, and employee termination procedures. They can help to prevent your business from inadvertently violating state or federal regulations.

Pro Tip:
A good way to estimate payroll taxes so you can calculate the total cost of an employee is to add 15-30% onto your employee's gross salary.

Payment for Independent Contractors: Paying independent contractors is slightly less complicated than paying employees since you do not need to withhold payroll taxes from their pay or pay any employer taxes for these workers. Contractors can be paid with physical checks or via direct deposit payment. They are paid the full amount of their agreement and they are responsible for handling their own taxes. For this reason, employers who only hire independent contractors may not have as much of a need for a payroll software as those with employees.

However, payroll softwares generally have the ability to pay independent contractors. This may be something to consider if you're already using a system to pay employees and/or if you hire a lot of independent contractors throughout the year and are looking for a way to streamline the reporting/tracking of payments. Having accurate records of contractor payments is important. For any contractor making $600/year or more, you will need to submit a 1099-NEC form at the end of the year that lists the total amount paid out to the contractor within the last calendar year. These forms will need to be sent to the IRS and potentially to your state, the state where your contractor resides, and/or the state where the contractor worked. Consult with your accountant to ensure you are in compliance with all state and local laws. To avoid frustration from your contractors, be sure any who are likely to earn $600 or more are notified prior to working your events that they will need to provide a completed W9 form and they will receive a 1099 form for tax purposes at year end.

Pro Tip:
Direct Deposit: *Before issuing direct deposit payments, collect a signed authorization form from the Independent Contractor to grant permission for access to their bank account. If you're utilizing a payroll software, contractors are automatically prompted to provide this approval, but if you are not using a software, you should collect your own authorization form for your records.*

EQUIPMENT:

Races require a lot of equipment to operate! From barricades, to signage, to buoys, there are a lot of pieces that go into the production of a race. In some instances, it may be in your best interest to purchase equipment and in other cases, it may make sense to rent from outside vendors. Here are a few considerations to keep in mind as you make these decisions:

RENT VS. PURCHASE EQUIPMENT		
	RENT EQUIPMENT	**PURCHASE EQUIPMENT**
FINANCIALS	The rental of the equipment is less than the cost to purchase, but this cost is incurred for each event.	Substantial up-front investment to purchase the item. If you opt to borrow money to make the purchases, this will help save your capital, build your credit rating, and can also lead to tax savings due to interest write offs. Once you own the items, there may also be opportunities to write off depreciation as a business expense.
STORAGE	The burden of storing the equipment is on the rental company.	Consider storage / warehousing fees to house the equipment throughout the year.
MAINTENANCE	The burden of maintaining the equipment is on the rental company. If an item malfunctions during your event, they may be able to repair or replace without it affecting your on-site resources.	The onus of all costs to maintain, clean, repair the equipment lies with you
DELIVERY & INSTALLATION	This is incorporated in your rental fees. The rental company provides the resources to bring the equipment to the venue and install (if applicable).	If you own the equipment, you will need to manage the packing, trucking, and delivery of items to the event site. Post-event, you'll also have to account for the trucking and labor costs for returning, inventorying, and restocking the items.
USAGE	No matter how much you trust the vendors you work with, the quality of the equipment you receive is outside of your control. In most instances, the equipment is rented often, which can take its toll on the equipment.	When you own the equipment, it's easier to control how often the items are used and how they are treated. This may result in better quality output from the equipment and also ensure a longer life.
EVOLUTION & ADVANCEMENTS	As your races evolve, your equipment needs may change. When you rent equipment, you have the ability to switch up the equipment you order should you	Once you own equipment, you may be less inclined to make changes or enhancements in an effort to maximize the return on investment of the items you've already purchased.

	need to make a change. Additionally, as technology advances and new innovations become available, you have the ability to incorporate these new elements from existing vendors or source new vendors	
ADDITIONAL REVENUE STREAM	n/a	Many Race Directors purchase equipment for their own events and also make the decision to rent this equipment to other events. This creates an additional revenue stream for the business which helps offset the cost of the equipment purchase. Keep in mind that introducing rentals as a component of your business means dedicating resources to manage the coordination with clients as well as the packing, inventorying, and restocking of equipment.

When you start to pull together your operating expenses, make two lists: one-time costs that will occur only once as you get the business up and running and recurring costs that will need to be paid regularly (i.e. monthly, quarterly, annually).

Pro Tip:
The amount you'll owe in taxes is hard to predict as it depends on your revenue, expenses, and business structure. As a general rule of thumb, assume 30% of your business income will go toward taxes. Consult with your accountant for more concrete recommendations based on your business.

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